

WITHOUT ACCESS TO A TV OR AN OTT CONNECTION, OTT PLATFORMS HAVE A LOT OF HEADROOM TO GROW THEIR SUBSCRIBER BASE



45 MILLION

Free TV homes which may or may not consume AVoD services



77 MILLION

Pay TV homes that also consume AVoD services



150 MILLION

No access to TV or OTT (video dark homes)

SOURCE: FICCI-EY M&E REPORT 2023

But customer acquisition is also costly, especially as all the streaming players are vying for the wallet and mind share of the same set of 45-50 million SVoD users in the country. Some of them shell out as much as ₹2,000 per customer to earn ₹500 in revenues.

GETTING IT RIGHT

Today, nearly all the OTT players fall somewhere on the 'freemium' spectrum, where some content is behind a paywall and some is available free to watch, but with ads interspersed between them. On top of that is a dizzying array of annual, quarterly, monthly and mobile-only price plans. For instance, pure-play SVoD platform Netflix plans to roll out ads, while regional SVoD player aha has pivoted to a hybrid model. "It is doing well for us. The revenue split is 70-30 towards SVoD. A year ago, it was 90-10," says aha's Thakur, adding that the shift is happening not because subscription revenue is coming down but because ad revenue is rising.

Indians are primarily a TV-watching audience who are okay with watching ads in between, say experts. Pankaj Krishna, Founder and CEO of Chrome Data Analytics & Media, says India's premium audience is a small number, and the paid market will never be as big as free. "Everyone is experimenting right now but the only conclusion seems to be that you cannot survive without an AVoD layer," he says. "If you want to be a business of scale and be a big boy in India, you have to go ad-supported. Subscriptions can be 20-30 per cent of your revenues," said Nachiket Pantvaidya, former CEO of ALTBalaji, at the FICCI Frames 2023 event held recently in Mumbai.

That is not to say that pure-play AVoD works well in India. Case in point: AVoD platform MX Player

is reportedly being acquired by Amazon Prime Video for ₹350-400 crore, a sum significantly lower than the ₹1,000 crore that current owners Times Internet had paid for it in 2018. Reliance Industries-backed JioCinema, which shot into prominence with its free streaming of cricket tournament Indian Premier League (IPL), has also introduced a paid layer on its OTT platform and announced over a hundred pieces of original content just weeks ahead of the IPL finals. Digital ad revenues are hard to come by for the OTT players as social media websites and search engine firms such as Meta and Google (including YouTube) corner almost 90 per cent of the pie because that's where the eyeballs are turned.

The refrain among OTT players is that both SVoD and AVoD will co-exist. "No one in the entertainment business knows what's going to work," says a senior Disney Star executive, requesting not to be named. "But one thing is for sure, it's unfair to expect people to subscribe to so many platforms. They will not do it. All we can do is work on content and enhance our USP."

As of April 2023, Disney+ Hotstar is the country's largest OTT player with a majority of its 52.9 million subscriber base belonging to India. But it has lost 8.4 million subscribers since October 2022 due to the void created by IPL streaming moving to JioCinema.

In the race to crack the right revenue model, platforms are also making a pit stop at transactional video-on-demand (TVoD) services, where viewers are provided limited-period movie rentals at prices lower than full subscription fees. ZEE5, for instance, has rentals ranging from ₹29 to ₹349. Kalra of ZEE5 says this is how cable TV and DTH evolved when it went behind a paywall—through bundles, sachets and configurable price points. "We want to scale up our TVoD services this year because that gives viewers the option to sample a lot of content. Pricing is important, but right now the fo-